

Exemptions

An exemption is a fixed amount you deduct from your taxable income for yourself, your spouse if you're married, and each eligible dependent you claim on your income tax return. In 2012, each exemption was worth \$3,800, so if you're married but have no kids, you can claim \$7,600 if you file jointly. There are different tests employed for the dependency deduction depending on whether you are claiming a qualifying child or qualifying relative. See Section 3, Part One, of IRS Publication 17 for details.

Marginal and Effective Tax Rates

Your income is taxed based on taxable income brackets, ranging from 10 percent to 35 percent. The higher your income, the more tax brackets you'll cross, with the income that falls within each bracket being taxed at the rate for that bracket.

▼ 2012 TAX BRACKET LIMITS

Filing Status	10 percent	15 percent	25 percent	28 percent	33 percent*
Single	\$8,700	\$35,350	\$85,650	\$178,650	\$388,350
Married filing jointly/ Qualifying Widow(er)	\$17,400	\$70,700	\$142,700	\$217,450	\$388,350
Married filing separately	\$8,700	\$35,350	\$71,350	\$108,725	\$194,175
Head of household	\$12,400	\$47,350	\$122,300	\$198,050	\$388,350

*Income in excess of these amounts is taxed at 35 percent

For example, if you're single and your AGI is \$40,000, your tax would be calculated as follows:

The first \$8,700 at 10 percent = \$870.00.

The next \$26,650 (the difference between \$35,350 and \$8,700) at 15 percent = \$3,997.50.